

consists of interest and principal. It is designed so that you'll pay off the entire loan at the end of the loan term. By eliminating the principal portion of your payment, you spend less each month. Of course, you never pay down any of your loan with an interest-only mortgage. You'll owe just as much after ten years as you did on the day you bought your house. In other words, you don't build any equity with each monthly mortgage payment—you just service the loan.

This type of loan option allows a borrower to pay only the interest on the mortgage in monthly payments for a fixed number of years, usually five to seven. After that point, the buyer has the option to refinance, pay off the higher balance or face what could be a significantly higher monthly payment. These loans are a good idea for people who want to use such loans strategically, for example, for people expecting a windfall that can wipe out their debt at the end of the term or at least will be earning enough to make the new payments painless.

Negative-Amortization Loans

Some loans allow you to pay even less than the monthly interest. These allow you to enjoy a lower monthly payment, but they are extremely risky. A loan with negative amortization actually sets payments at a level that fails to cover the principal and interest due—or creates an option where a borrower can pay less than the principal and interest due whenever they feel like it—which makes the total loan balance rise instead of fall.

Negative-amortization loans have a significantly lower monthly payment at the start (maybe the first year or two) as compared to more conventional loans. Unfortunately, the day will come when you have to settle up—usually with dramatically higher monthly payments. What a shock it is to look at a mortgage statement and find out that six months, a year, or two years in, you owe more than you originally borrowed!

There are two scenarios where negative amortization can make sense. The first scenario involves experienced real estate investors who understand their particular markets and properties so well that they know they'll be able to unload their investment on a specific timetable. The second involves individuals with a similarly superior knowledge of the market and solid finances who know they won't have any trouble selling or refinancing into a more stable loan product later.